

expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to financial statements

7. Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion, the Company has, in all material respects, adequate internal financial controls system with reference to standalone financial statements and such internal financial controls with reference to financial statements were operating effectively as at March 31, 2026, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note issued by ICAI.

For **Price Waterhouse & Co Chartered Accountants LLP**

Firm Registration Number: 304026E/E-300009

Subramanian Vivek

Partner

Membership Number: 100332

UDIN: 26100332RWDEKB6299

Mumbai

May 15, 2026

ANNEXURE B TO INDEPENDENT AUDITOR'S REPORT

Referred to in paragraph 14 of the Independent Auditor's Report of even date to the members of Tata Steel Limited on the standalone financial statements as of and for the year ended March 31, 2026

In terms of the information and explanations sought by us and furnished by the Company, and the books of account and records examined by us during the course of our audit, and to the best of our knowledge and belief, we report that:

- i. (a) (A) The Company is maintaining proper records showing full particulars, including quantitative details and situation, of Property, plant and equipment.
- (B) The Company is maintaining proper records showing full particulars of Intangible Assets.
- (b) The Property, plant and equipment of the Company are physically verified by the Management according to a phased programme designed to cover all the items over a period of three years which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the programme, a portion of the Property, plant and equipment has been physically verified by the Management during the year, and no material discrepancies have been noticed on such verification.
- (c) The title deeds of all the immovable properties (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee), as disclosed in Note 3 on Property, plant and equipment and Note 4 on Right-of-use assets to the standalone financial statements, are held in the name of the Company (including erstwhile name), except for the following:

Description of property	Gross carrying value (₹ crores)	Held in the name of	Whether promoter, director or their relative or employee	Period held (i.e. dates of capitalisation provided in range)#	Reason for not being held in the name of the Company
Freehold Land	214.43	Not Applicable*	No	March, 1928 to April, 2022	Title Deeds not available with the Company
Buildings	134.01	Not Applicable*	No	January, 1960 to April 2022	Title Deeds not available with the Company
Freehold Land	11.32	Tata Steel BSL Limited	No	April, 2020	For certain properties acquired through amalgamation/merger, the name change in the name of the Company is pending
Freehold Land	122.12	Bhushan Steel Limited (earlier name of Tata Steel BSL Limited)	No	April, 2020	
Freehold Land	1.92	Bhushan Steel & Strips Limited (earlier name of Tata Steel BSL Limited)	No	April, 2020	
Freehold Land	124.78	Tata Steel Long Products Limited/Tata Sponge Iron Limited (earlier name of Tata Steel Long Products Limited)	No	April, 2022	
Freehold Land	71.21	Usha Martin Limited	No	April, 2022	
Freehold Land	0.12	Rawmet Ferrous Industries Private Limited	No	April, 2023	
Freehold Land	0.57	Rohit Ferro Tech Limited	No	April, 2023	
Freehold Land	0.04	The Tinplate Company of India Limited	No	April, 2022	
Freehold Land	6.21	Tata Metaliks Limited	No	April, 2022	
Freehold Land	0.45	Bharat Minex Private Limited	No	April, 2022	
Freehold Land	0.21	Chandrakali Devi	No	April, 2022	
Freehold Land	0.08	Bhagwan Singh	No	April, 2022	
Freehold Land	0.02	Premnath Prasad	No	April, 2022	
Freehold Land	0.07	Laljahari Devi	No	April, 2022	

Description of property	Gross carrying value (₹ crores)	Held in the name of	Whether promoter, director or their relative or employee	Period held (i.e. dates of capitalisation provided in range)#	Reason for not being held in the name of the Company
Freehold Land	0.08	Gopinath Pradhan	No	April, 2022	For certain properties acquired through amalgamation/merger, the name change in the name of the Company is pending
Freehold Land	8.11	Bhubaneswar Power Private Limited	No	April, 2023	
Buildings	15.89	Tata SSL Limited	No	January, 1989 to January, 1991	
Buildings	3.08	Indian Tube Company Limited	No	January, 1960	
Buildings	1.17	Tata Steel Mining Limited	No	April, 2023	
Buildings	0.71	Usha Martin Limited	No	April, 2022	
Buildings	4.39	The Assam Company (India) Limited	No	January, 1997	
Right of Use - Land	9.02	Tata Steel BSL Limited	No	April, 2020	
Right of Use - Land	179.40	Bhushan Steel Limited (earlier name of Tata Steel BSL Limited)	No	April, 2020	
Right of Use - Land	139.93	Bhushan Steel & Strips Limited (earlier name of Tata Steel BSL Limited)	No	April, 2020	
Right of Use - Land	3.28	Jawahar Metal Industries Private Limited (earlier name of Tata Steel BSL Limited)	No	April, 2020	
Right of Use - Land	131.85	Tata Sponge Iron Limited (earlier name of Tata Steel Long Products Limited)	No	April, 2022	
Right of Use - Land	2.36	Usha Martin Limited	No	April, 2022	
Right of Use - Land	7.68	Rawmet Ferrous Industries Private Limited (earlier name of Tata Steel Mining Limited)	No	April, 2023	
Right of Use - Land	25.66	Rohit Ferro Tech Limited	No	April, 2023	
Right of Use - Land	25.60	Tata Metaliks Limited	No	April, 2022 to May, 2023	
Right of Use - Land	13.70	Bhubaneshwar Power Private Limited	No	April, 2023	
Right of Use - Land	27.27	Bhushan Energy Limited	No	April, 2023	
Right of Use - Land	1.85	Not Applicable*	No	April, 2020 to July, 2025	
Right of Use - Building	56.83	Not Applicable*	No	April, 2021	

Immovable properties acquired from entities merged with the Company have been considered with effect from the Appointed Date as was set out in the scheme.

* Refer column "Reason for not being held in the name of the Company".

- (d) The Company has not revalued its Property, plant and equipment (including Right of Use assets) or Intangible Assets or both during the year. Consequently, the question of our commenting on whether the revaluation is based on the valuation by a Registered Valuer, or specifying the amount of change, if the change is 10% or more in the aggregate of the net carrying value of each class of Property, plant and equipment (including Right of Use assets) or Intangible Assets does not arise.
- (e) No proceedings have been initiated on or are pending against the Company for holding benami property under the Prohibition of Benami Property Transactions Act, 1988 (as amended in 2016) [formerly the Benami Transactions (Prohibition) Act, 1988 (45 of 1988)] and Rules made thereunder, and therefore the question of our commenting on whether the Company has appropriately disclosed the details in the standalone financial statements, does not arise.

- ii. (a) The physical verification of inventory (excluding stocks with third parties) has been conducted at reasonable intervals by the Management during the year and, in our opinion, the coverage and procedure of such verification by Management is appropriate. In respect of inventory lying with third parties, these have substantially been confirmed by them. In respect of inventories of stores and spares, the Management has a verification programme designed to cover the items over a period of three years. The discrepancies noticed on physical verification of inventory as compared to book records were not 10% or more in aggregate for each class of inventory.
- (b) During the year, the Company has been sanctioned working capital limits in excess of ₹5 crores, in aggregate, from banks on the basis of security of current assets. The Company has filed quarterly returns or statements with such banks, and the discrepancies noted in such quarterly return or statements with the books of account were trivial. Also, refer Note 17 to the standalone financial statements.
- iii. (a) The Company has, during the year, made investments* in nine companies and twenty six mutual fund schemes, granted unsecured loans to two companies and forty five employees and stood guarantee for one company. The aggregate amount during the year, and balance outstanding at the balance sheet date with respect to such loans and guarantees to subsidiaries, joint ventures and to parties other than subsidiaries, joint ventures and associates are as per the table given below:

Particulars	Guarantees (₹ crores)	Loans (₹ crores)
Aggregate amount granted/provided during the year		
Subsidiaries	-	161.15
Joint Ventures	82.59	-
Others	-	0.40
Balance outstanding (gross) as at balance sheet date in respect of the above cases		
Subsidiaries	-	81.15
Joint Ventures	82.59	-
Others	-	0.30

* During the year, investments made includes investment in two companies which has been converted from advance against equity to investment in equity shares.

The above amounts are included in Note 7 on Loans and Note 34(B) on Commitments to the standalone financial statements.

- (b) In respect of the aforesaid investments, guarantees and loans, the terms and conditions under which such loans were granted, investments were made and guarantees provided are not prejudicial to the Company's interest.
- (c) In respect of the loans outstanding as on the balance sheet date, the schedule of repayment of principal and payment of interest has been stipulated by the Company except for two loans aggregating ₹9.60 crores (fully provided in books) where no schedule of repayment of principal and payment of interest has been stipulated. Except for the aforesaid instances (where in the absence of stipulation of repayment/payment terms, we are unable to comment on the regularity of repayment of principal and payment of interest) and the following instance, the parties are repaying the principal amounts, as stipulated, and are also regular in payment of interest, as applicable.

Name of the entity	Amount (₹ crores)	Due Date	Extent of delay (provided in range)	Remarks
Tayo Rolls Limited	81.30	Multiple Dates	2,922 days– 3,517 days	The amounts pertain to principal and interest, which are overdue as at March 31, 2026. The entity is under corporate insolvency resolution process. The Company has filed its claim as financial creditor. The amounts are fully provided in books.

- (d) In respect of the following loans, the total amount overdue for more than ninety days as at March 31, 2026 is ₹81.30 crores. Based on the information and explanations given to us, the entity is under corporate insolvency resolution process and accordingly, the Company is not taking any further steps for the recovery of the principal and interest amounts, other than those mentioned in clause (iii)(c) above against Tayo Rolls Limited.

No. of cases	Principal Amount Overdue (₹ crores)	Interest Overdue (₹ crores)	Total Overdue (₹ crores)	Remarks
One	67.00	14.30	81.30	The amounts are fully provided in books

- (e) Following loan (including interest) were granted to same party, which has fallen due during the year and were renewed/extended. Further, no fresh loans were granted to same parties to settle the existing overdue loans.

Name of the party	Aggregate amount of loan renewed or extended (₹ crores)	Percentage of the aggregate to the total loans granted during the year
Subarnarekha Port Private Limited	50.95	31.54%

The above amounts are included in Note 7 on Loans to the standalone financial statements.

- (f) The loans granted during the year, including to related parties had stipulated the scheduled repayment of principal and payment of interest and the same were not repayable on demand. No loans were granted during the year to promoters.
- iv. In our opinion, the Company has complied with the provisions of Sections 185 and 186 of the Companies Act, 2013 in respect of the loans and investments made, and guarantees and security provided by it, as applicable.
- v. The Company has not accepted any deposits or amounts which are deemed to be deposits referred in Sections 73, 74, 75 and 76 of the Act and the Rules framed there under. Accordingly, the reporting under clause 3(v) of the Order is not applicable to the Company.
- vi. Pursuant to the rules made by the Central Government of India, the Company is required to maintain cost records as specified under Section 148(1) of the Act in respect of its products and services. We have broadly reviewed the books of account maintained by the Company pursuant to the said requirement, and are of the opinion that, prima facie, the prescribed accounts and records have been made and maintained. We have not, however, made a detailed examination of the records with a view to determine whether they are accurate or complete.
- vii. (a) In our opinion, except for the dues in respect of royalty, the Company is generally regular in depositing undisputed statutory dues in respect of provident fund, labour welfare fund and electricity duty, though there has been a slight delay in a few cases, and is regular in depositing undisputed statutory dues, including employees' state insurance, sales tax, income tax, service tax, duty of customs, duty of excise, value added tax, cess, goods and services tax and other statutory dues, as applicable, with the appropriate authorities. We are informed that the Company has applied for exemption from operation of Employees' State Insurance Act at some locations. We are also informed that actions taken by the authorities at some locations to bring the employees of the Company under the Employees' State Insurance Scheme has been contested by the Company and payment has not been made of the contribution demanded. The extent of the arrears of statutory dues outstanding as at March 31, 2026, for a period of more than six months from the date they became payable are as follows:

Name of the statute	Nature of dues	Amount (₹ crores)	Period to which the amount relates	Due date	Date of Payment	Remarks, if any
The Mines and Minerals (Development and Regulation) Amendment Act, 2021	Royalty	2,579.38	March, 2021 to March, 2024	Various dates till March, 2024	Not yet paid	Additional royalty for sale to group companies
	Performance Security for shortfall in minimum Production Requirement	84.00	June, 2019 to March, 2025	Various dates till March, 2025	Not yet paid	Shortfall in production as per MDPA

- (b) The particulars of statutory dues referred to in sub-clause (a) as at March 31, 2026 which have not been deposited on account of a dispute, are as follows:

Name of the statute	Nature of dues	Amount (net of payments) (₹ crores)	Amount paid (₹ crores)	Period to which the amount relates	Forum where the dispute is pending
Income Tax Act, 1961	Income Tax	1,827.93	1,246.36	1998-99, 2006-07, 2007-08, 2008-09, 2009-10, 2010-11, 2011-12, 2013-14, 2015-16, 2016-17, 2018-19 and 2021-22	Tribunal
		383.56	125.70	2013-14, 2014-15, 2015-16, 2016-17, 2017-18, 2019-20 and 2022-23	CIT Appeals
		3.76	0.56	2014-15, 2017-18 and 2019-20	Deputy Commissioner/ Assistant Commissioner of Income Tax
Customs Act, 1962	Customs duty	0.01	-	2014-15 to 2018-19	Assistant Commissioner
		10.71	0.18	2017-18 to 2021-22	Commissioner
		15.98	2.30	1984-85, 1993-94, 2002-03, 2017-18	High Court
		3.73	0.22	2005-06 to 2008-09	Supreme Court
		123.14	15.07	2008-09 to 2019-20	Tribunal
Bihar Electricity Duty Act, 1948	Electricity Duty	0.17	-	1996-97 to 2000-01	Assistant Commissioner
		22.39	-	2003-04 to 2010-11, 2012-13, 2016-17	Deputy Commissioner
		6.33	-	2011-12 to 2015-16	High Court
		0.30	-	2004-05 to 2007-08	Tribunal
Employee State Insurance Act, 1948	Employee State Insurance	29.49	-	1996-97 to 2003-04, 2005-06 to 2009-10, 2017-18 to 2021-22	High Court
Entry Tax Laws	Entry Tax	1.98	0.27	2007-08 to 2010-11, 2014-15	Additional Commissioner
		4.20	-	2002-03, 2008-09, 2011-12	Assessing Officer
		0.37	-	2015-16 to 2020-21	Assistant Commissioner
		0.65	0.56	2001-02, 2005-06 to 2006-07	Deputy Commissioner
		7.07	0.53	2000-01 to 2002-03, 2005-06 to 2010-11, 2014-15	High Court
		0.11	0.24	2008-09 to 2011-12	Joint Commissioner
		1.19	1.21	2007-08 to 2010-11	Tribunal

Name of the statute	Nature of dues	Amount (net of payments) (₹ crores)	Amount paid (₹ crores)	Period to which the amount relates	Forum where the dispute is pending
Mines and Mineral (Development and Regulation) Act, 1957	Excess Mining /Common Cause	59.40	45.10	2000-01 to 2010-11	Additional Chief Secretary, Steel & Mines
		2,994.49	573.83	2011-12 to 2014-15	High Court
		2,140.30	-	2000-01 to 2016-17	Revisional Authority, Ministry of Mines
		234.74	-	2001-02 to 2010-11	Additional Secretary, Steel & Mines
Central Excise Act, 1944	Excise Duty	0.58	-	2014-15	Additional Commissioner
		0.09	-	2010-11 to 2011-12	Assistant Commissioner
		52.88	7.34	1988-89, 2004-05, 2009-10, 2011-12, 2013-14 to 2017-18	Commissioner
		0.50	-	1994-95 to 1997-98, 2016-17 to 2017-18	Deputy Commissioner
		284.75	0.10	1989-90, 2003-04 to 2017-18	High Court
		2.24	1.07	2010-11, 2016-17	Joint Commissioner
		449.15	34.65	2002-03 to 2017-18	Tribunal
Goods & Services Tax Act, 2017	Goods & Service Tax	75.61	1.20	2017-18 to 2022-23	Additional Commissioner
		2.48	-	2019-20	Adjudicating Officer
		43.67	1.96	2017-18 to 2022-23	Assistant Commissioner
		185.64	5.66	2017-18 to 2021-22	Commissioner
		72.88	1.97	2017-18 to 2023-24	Deputy Commissioner
		6.08	2.30	2017-18, 2020-21	Joint Commissioner
		0.40	-	2018-19 to 2021-22	Superintendent
		2,987.90	-	2018-19 to 2022-23	High Court
Labour Laws	Labour Related	0.23	-	2015-16	High Court
		0.05	-	2011-12	Presiding Officer, Labour Court, Jamshedpur
Jharkhand Mineral Area Development Authority Act, 2000	Mineral Area Development Fee	58.51	18.00	2005-06 to 2006-07, 2008-09 to 2009-10, 2011-12 to 2013-14, 2016-17	High Court
		8.23	-	1992-93 to 1994-95, 2005-06	Supreme Court

Name of the statute	Nature of dues	Amount (net of payments) (₹ crores)	Amount paid (₹ crores)	Period to which the amount relates	Forum where the dispute is pending
Minerals (Other than Atomic and Hydro Carbons Energy Mineral) Concession Rules - 2016	Royalty on Minerals	4,313.62	-	2023-24 to 2025-26	High Court*
		597.69	218.50	2020-21 to 2021-22	High Court
Employees Provident Fund & Miscellaneous Provisions Act, 1952	Provident Fund	-	1.02	1997-98	High Court
Mineral Concession Rules, 1960	Royalty on Minerals	408.48	2.60	2009-10 to 2014-15	Mines Tribunal
		1,366.78	1,333.41	2000-01 to 2007-08	Supreme Court
		54.71	-	2008-09 to 2010-11	Revisional Authority, Ministry of Mines
Sales Tax Laws	Sales Tax	27.14	2.36	1983-84, 2002-03, 2012-13	Additional Commissioner
		30.68	2.85	1973-74, 1980-81 to 1991-92, 1994-95 to 1996-97, 2004-05, 2007-08, 2014-15 to 2017-18	Assistant Commissioner
		211.02	3.80	1988-89 to 1989-90, 1991-92, 2001-02 to 2004-05, 2012-13 to 2013-14	Commissioner
		45.55	0.54	1975-76, 1985-86 to 1987-88, 1997-98 to 2001-02, 2008-09, 2011-12 to 2014-15, 2016-17 to 2017-18	Deputy Commissioner
		10.01	1.23	1977-78 to 1978-79, 1983-84, 1991-92 to 1992-93, 1995-96 to 1996-97, 2000-01, 2008-09	High Court
		71.66	0.57	1979-80, 2003-04, 2006-07, 2008-09 to 2009-10, 2012-13 to 2014-15, 2016-17 to 2017-18	Joint Commissioner

Name of the statute	Nature of dues	Amount (net of payments) (₹ crores)	Amount paid (₹ crores)	Period to which the amount relates	Forum where the dispute is pending
Sales Tax Laws	Sales Tax	0.41	0.19	1983-84, 1988-89, 1990-91, 1992-93, 1994-95 to 1995-96	Sales Tax Officer
		11.18	4.93	1977-78, 1984-85, 1987-88, 1989-90 to 1998-99, 2001-02, 2003-04 to 2009-10, 2012-13, 2015-16	Tribunal
	Sales Tax (VAT)	2.76	0.47	2005-06, 2012-13 to 2016-17	Additional Commissioner
		0.45	0.09	2005-06 to 2006-07, 2017-18	Assistant Commissioner
		19.71	0.08	2006-07 to 2011-12, 2014-15, 2016-17 to 2017-18	Commissioner
		34.64	0.13	2006-07, 2010-11 to 2011-12, 2013-14	Deputy Commissioner
		265.50	1.07	2001-02, 2003-04, 2007-08, 2010-11, 2012-13 to 2015-16	High Court
		4.17	-	2015-16 to 2017-18	Joint Commissioner
		2.75	0.93	2005-06 to 2006-07, 2008-09, 2013-14 to 2015-16, 2017-18	Tribunal
Service Tax Laws	Service tax	0.88	-	2005-06 to 2010-11	Additional Commissioner
		1.88	0.03	2010-11 to 2017-18	Assistant Commissioner
		10.13	0.13	2004-05 to 2007-08, 2010-11 to 2017-18	Commissioner
		0.30	-	2010-11	High Court
		3.14	0.17	2016-17 to 2017-18	Joint Commissioner
		171.60	6.68	2001-02 to 2009-10, 2011-12 to 2016-17	Tribunal
Indian Stamp Act, 1899	Stamp Duty	5,439.69	414.00	2013-14, 2015-16, 2020-21, 2023-24	High Court
State Water Tax Laws	Water Tax	239.81	35.00	1980-81 to 1993-94, 1995-96 to 2022-23	High Court

*The demand has been subsequently quashed by the Hon'ble High Court of Orissa vide order dated April 20, 2026. [Refer note (b)(iii) of Other taxes, dues and claims under note 34(A) to the standalone financial statements].

The following matters have been decided in favour of the Company although the department has preferred appeal at higher levels:

Name of the statute	Nature of dues	Amount (net of payments) (₹ crores)	Amount Paid (₹ crores)	Period to which the amount relates	Forum where the dispute is pending
Customs Act, 1962	Customs Duty	129.67	-	2005-06 to 2007-08	High Court
Central Excise Act, 1944	Excise Duty	235.48	-	2004-05	Supreme Court
		16.34	-	2009-10	Tribunal
		26.84	-	2006-07 to 2008-09	Commissioner

- viii. There are no transactions previously unrecorded in the books of account that have been surrendered or disclosed as income during the year in the tax assessments under the Income-tax Act, 1961.
- ix. (a) The Company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender during the year.
- (b) On the basis of our audit procedures, we report that the Company has not been declared Wilful Defaulter by any bank or financial institution or government or any government authority.
- (c) In our opinion, the term loans have been applied, on an overall basis, for the purposes for which they were obtained.
- (d) According to the information and explanations given to us, and the procedures performed by us, and on an overall examination of the standalone financial statements of the Company, we report that no funds raised on short-term basis have been utilised for long-term purposes by the Company.
- (e) On an overall examination of the standalone financial statements of the Company, we report that the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures.
- (f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies.
- x. (a) The Company has not raised any money by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, the reporting under clause 3(x)(a) of the Order is not applicable to the Company.
- (b) The Company has not made any preferential allotment or private placement of shares or fully or partially or optionally convertible debentures during the year. Accordingly, the reporting under clause 3(x)(b) of the Order is not applicable to the Company.
- xi. (a) During the course of our examination of the books and records of the Company, carried out in accordance with the generally accepted auditing practices in India, we have neither come across any instance of material fraud by the Company or on the Company, noticed or reported during the year, nor have we been informed of any such case by the Management.
- (b) During the course of our examination of the books and records of the Company carried out in accordance with the generally accepted auditing practices in India, a report under Section 143(12) of the Act, in Form ADT-4, as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 was not required to be filed by us, as statutory auditors, with the Central Government. Further, no such report has been filed by any other auditor appointed by the Company under the Act. Accordingly, the reporting under clause 3(xi)(b) of the Order is not applicable to the Company.
- (c) During the course of our examination of the books and records of the Company carried out in accordance with the generally accepted auditing practices in India, the Company has received whistle-blower complaints during the year, which have been considered by us for any bearing on our audit and reporting under this clause. As explained by the management, there were certain complaints in respect of which investigations are ongoing as on the date of our report and our consideration of the complaints having any bearing on our audit is based on the information furnished to us by the management.